

Baxter 1983 – Local 190 Private information

Public information

Given changes in the conditions in the labor market and a clause in the 1978 contract, Baxter can if it wishes raise the issue of setting a new wage. If the two sides cannot agree on this issue it goes to an arbitrator.

The arbitrator is a random draw:

- With probability p he rules for Baxter. In this case, the wage will be set at \$8.67 per hour, the average of three highest paid industry leaders.
- With probability $1-p$ he rules for Local 190. In this case, the wage remains at 1978 negotiated wage per hour.

Private information

The membership is split on whether the arbitrator will side with Local 190. Some are optimistic, some not. Opinions on the value of $1-p$ range from $1/3$ to $2/3$.

The results of the 1983 negotiation will be scored as follows: Let x be the percentage the 1983 wage is changed from the 1978 wage. Then your 1978 score will be adjusted by x points.